
Credit risk and delinquency diagnosis

In-depth portfolio behavior analysis, origination leakage mapping, and strategic recommendation matrix to prevent financial losses.

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General portfolio diagnosis

18.10%

Average delinquency (Active CPFs)

18.55%

Resources in delinquent customers

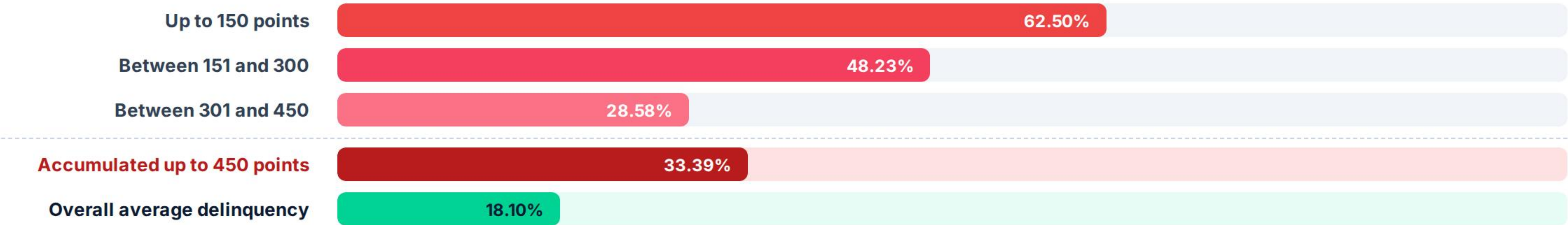
Structural leakages identified in origination

The portfolio delinquency rate is substantially above the healthy market average for unsecured personal loans in Brazil (benchmark of **8.00% to 15.00%** according to Central Bank stability reports).

- ❗ **Critical recent "No Hit" factor:** Customers with no previous loans and less than 120 days of relationship are the main source of losses, representing **40.22%** of all accumulated bad debt by themselves.
- ❗ **Low score concentration:** The approval engine is overloaded in credit score brackets below 450 points, accumulating 28.14% of the active customer portfolio and an alarming **51.11%** of the total values at risk.

Delinquency by credit score bracket

INTERNAL DELINQUENCY RATES



CUSTOMER DISTRIBUTION IN THE PORTFOLIO



 **Critical concentration detected:** Customers with an internal score below 450 points represent **49.94%** of the active customer base and concentrate more than half of all accumulated losses.

 *Maximum delay in sub-150 score brackets reaches a severe historical average of 101.25 days. Consolidated origination database, July 2023 to December 2024.*

Mapping of origination leakages and behavior



Marketplace B Partnership

Brings significant financial volume (11.29%), but stands out with the worst payment quality and has only 11.38% of the customer base (2nd smallest channel).

32.69%
Delinquency

19.93%
Share of Loss

521.10
Avg Score

60.29 d
Max Delay



Critical 2023 vintages

August, September, and November 2023 concentrate a severe default wave due to a temporary loosening of underwriting rules (vintage).

67.75%
Delinquency

20.95%
Share of Loss

17.18%
Representation

45.06 d
Avg Delay



Recent customer tenure

Very strong early-stage delinquency trend (up to 120 days). New customers default immediately without establishing a minimum relationship.

23.29%
Delinquency

45.87%
Share of Loss

40 days
Relationship

44.97 d
Avg Delay



Income commitment

The 30.00% to 40.00% debt-to-income ratio range concentrates highly leveraged borrowers who are highly prone to default.

24.40%
Delinquency

21.21%
Share of Loss

519.59
Avg Score

48.33 d
Avg Delay



No previous loans

The recent "No Hit" customer is the epicenter of risk. Note: Customers with 5 previous contracts also have a high risk of 23.33% (1.20% of the base).

25.67%
Delinquency

40.22%
Share of Loss

485.24
Avg Score

49.18 d
Avg Delay



Customers with restrictions

Pre-origination blacklisted/restricted customers cause severe delinquency leakage and the greatest operational challenges in collections.

27.63%
Delinquency

46.70%
Share of Loss

467.53
Avg Score

51.55 d
Avg Delay

Recommendations and trade-off analysis

Strategic action	Estimated impact (Saved resources)	Commercial trade-off
Conditional filter for restricted CPFs Block restricted customers only if credit score is below 300 points or tenure is less than 120 days.	Smart shielding 24.01% of resources at risk could be saved (or 4.45% of the total).	Possible reduction of 11.92% of the customer base, but 386 do not show delinquency, totaling 7.47% of available funds redirected to paying customers.
Hard cut-off for sub-300 score	Avoids severe losses Saves 13.79% on resources deployed to delinquent customers (representing 4.72% of total resources).	Controlled reduction of only 4.84% in active customer volume (highly asymmetric ratio).
Moderate limits for "No Hit" Reduce initial credit limit for new entrants with no history until they reach 120 days of tenure.	Loss containment Contains 40.22% of losses on resources deployed to delinquent customers (representing 7.46% of total resources).	This filter could impact approximately 20.50% of the customer base and 20.36% of total resources deployed.
Marketplace B contract adjustment Set up a bad debt risk-sharing model (commission linked to vintage performance) or review limits.	Leakage mitigation 19.93% of resources at risk could be saved (or 3.70% of the total).	Mitigated risk without breaking the partnership (second smallest channel with 11.38% of customers, but brings expressive volume).